Sequoia Capital-attributed analysis

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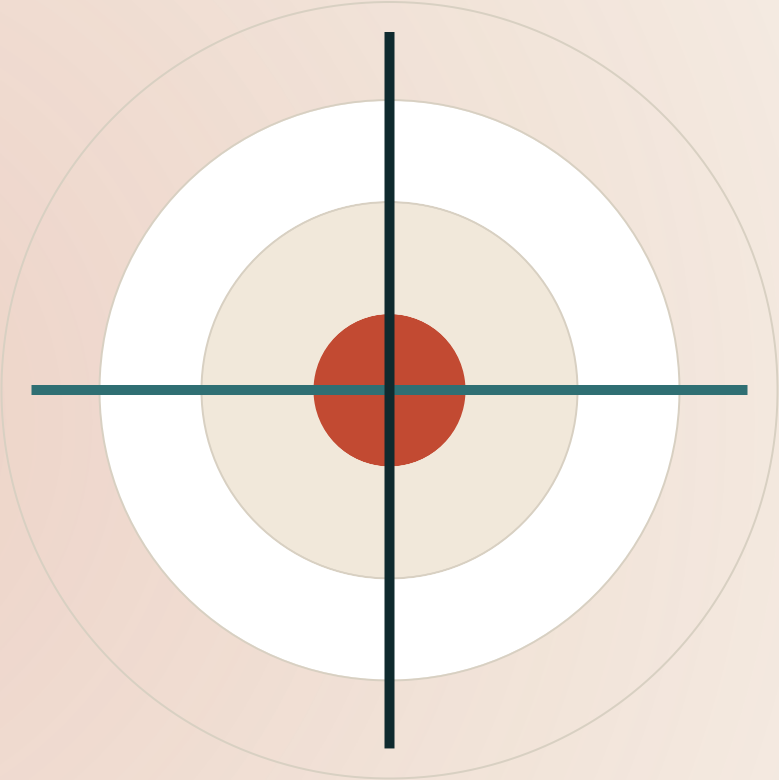
Generative AI's Act Two

From Technology Hammer to Real Value

The market has proven demand; the next test is durable value.
For investors and founders, retention is the forcing function.



Act 1: technology-out → Act 2: customer-back

Six Decades of Technological Progress Converged to Enable Generative AI

Compute, data, and distribution accumulated until ChatGPT became the spark.

Narrative implication: generative AI was not a sudden invention; it was a convergence event decades in the making.

GenAI Startups Surpassed $1B Revenue Faster Than SaaS Ever Did

The category has crossed a commercial milestone in months, not years.

>$1B

startup revenue

Generative AI startups exceeded this milestone faster than SaaS, which took years rather than months.

MONTHS **GenAI startup revenue milestone**

YEARS **Comparable SaaS milestone**

1. **ChatGPT**
   Fastest-growing application in history; strong PMF among students and developers.

2. **Midjourney**
   Reported hundreds of millions in revenue with a team of just 11 people.

3. **Character.ai**
   AI entertainment and companionship; users spend an average of 2 hours per session in-app.

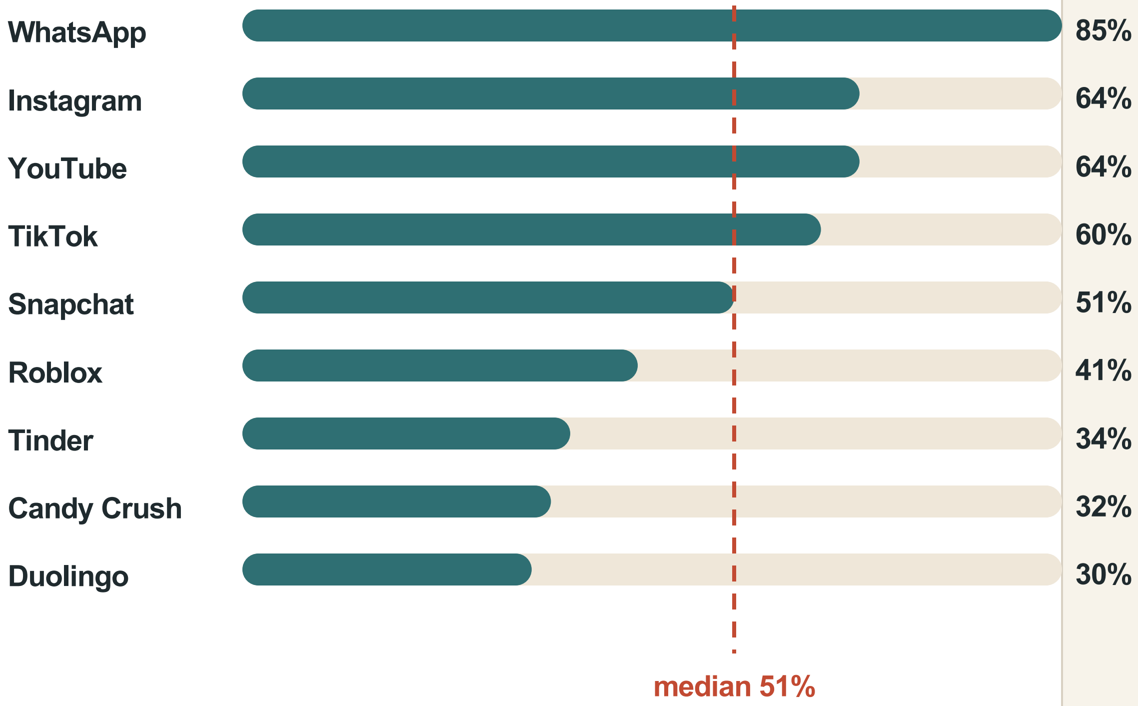
But early revenue does not resolve the deeper question: which products can retain users and compound?

AI-First Apps Show 14% Median Retention vs. 51% for Incumbents

Consumer AI has breakout usage, but the median retention gap remains severe.

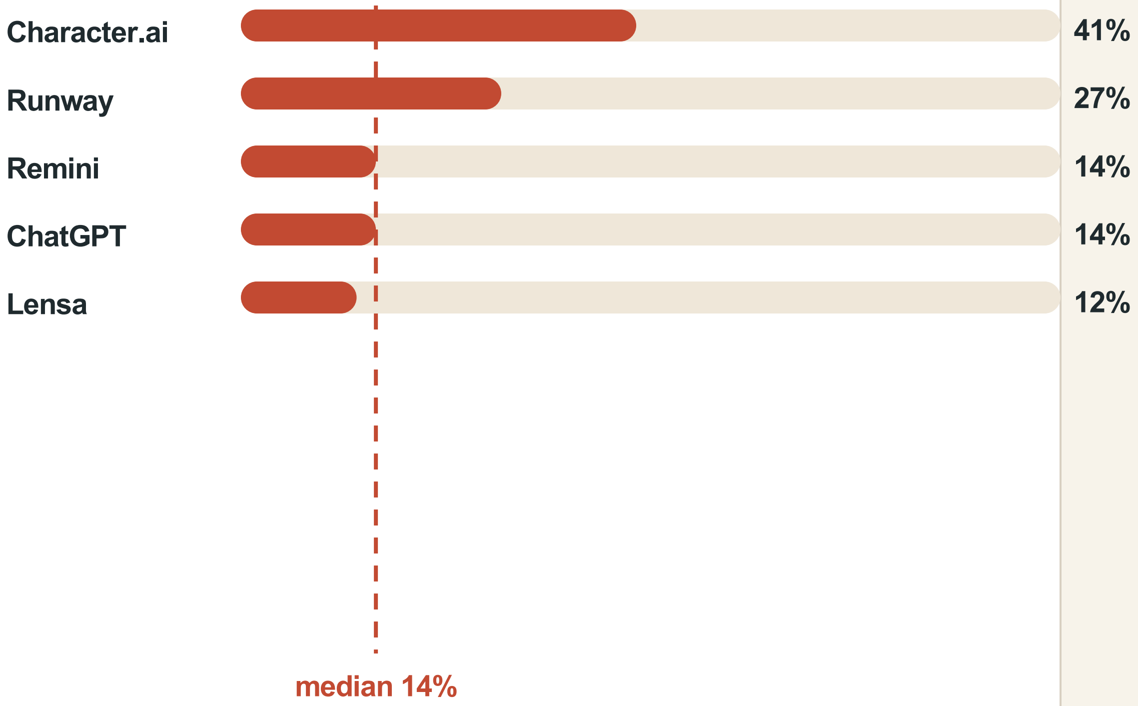
Incumbent consumer apps

Median 51%



AI-first companies

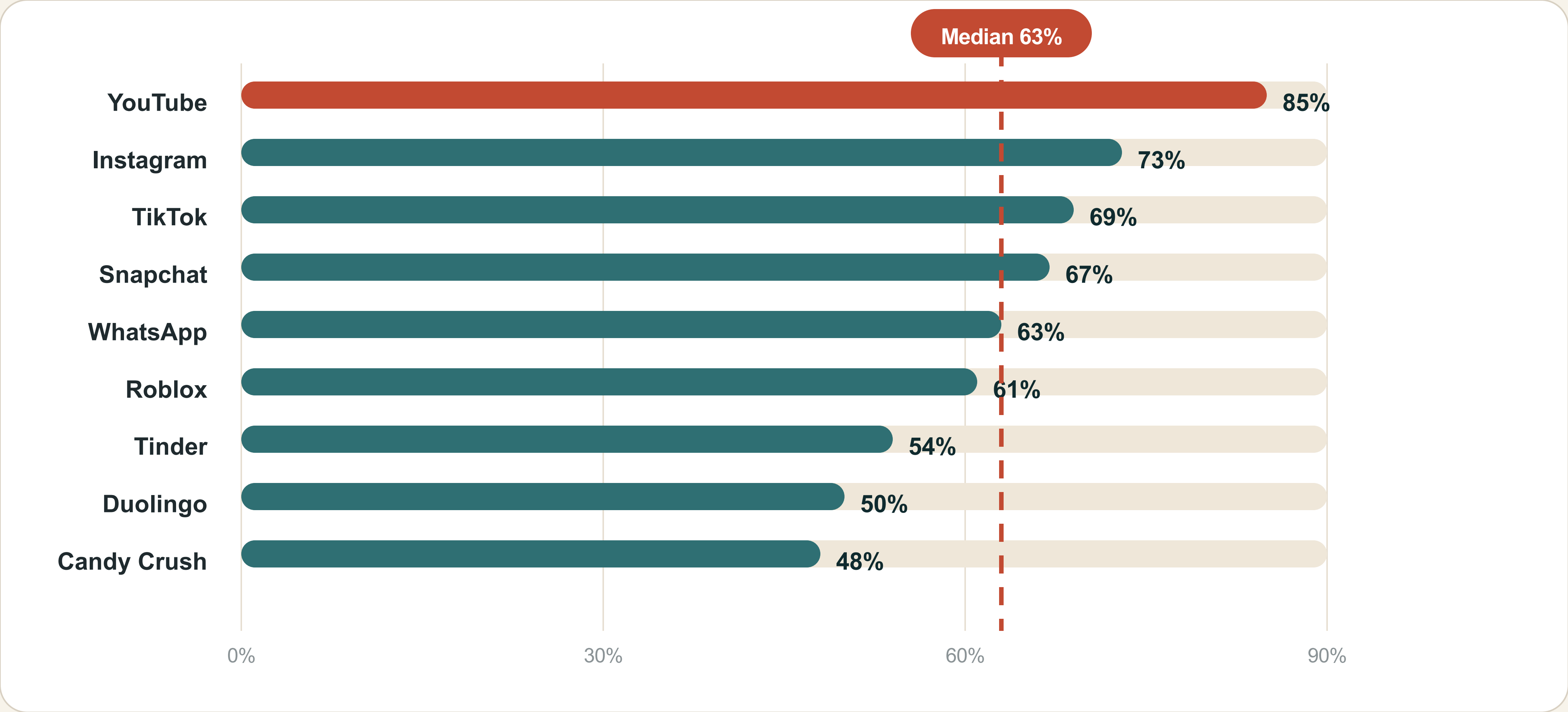
Median 14%



Median retention: incumbents 51% vs. AI-first 14% — a 3.6x disadvantage

YouTube Leads Incumbents at 85% Monthly Active Usage

The benchmark AI apps must clear is not only trial — it is repeated monthly habit.



Incumbent monthly active usage spans 48%–85%, setting a high engagement bar for AI-first products.

Act 1 Was Technology-Out; Act 2 Is Customer-Back

The winning pattern shifts from demos of models to complete solutions for human problems.

ACT 1 — Technology-Out

- Foundation models as the entire solution
- Novelty demos and cool technology showcases
- Lightweight wrappers with limited workflow depth
- Poor retention and weak stickiness

Pattern: technology hammer searching for nails

ACT 2 — Customer-Back

- Foundation models as one piece of a comprehensive solutio
- New editing interfaces that improve workflows and outputs
- Often multi-modal in nature
- End-to-end problem solving, not thin wrappers

Exemplars: Harvey · Glean · Character · Ava

Market Map Reorganized by Use Case, Not Model Modality

The taxonomy itself signals the move from model capability to value delivery.

Old lens: model modality

- Text
- Image
- Code

Technology categories

New lens: use case

Legal Harvey	Enterprise search Glean
Companionship Character	Companionship Ava

Human problem categories

Act 2 applications are increasingly multi-modal because workflows are multi-modal.

Key Takeaways: What Separates Winners in Act Two

Demand is real; durable companies will be built customer-back.

1 Retention is the critical challe

AI-first apps: 14% median vs. incumbents: 51% median.

2 Models are components

Foundation models should be a piece, not the whole product.

3 Workflow depth wins

Multi-modal, workflow-integrated solutions are the Act 2 pattern.

4 Demand is proven

>$1B startup revenue shows real commercial pull despite hype cycles.

5 Solve human problems end-to-end

Companies delivering actual value will define Act 2.

Investor lens: underwrite retention, workflow ownership, and end-to-end problem solving — not model novelty alone.